

TO: Gregory King, TSK

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RE: AI Data Center Policy Recommendation for Massachusetts

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I. Purpose and Research Question

The rapid proliferation of artificial intelligence is driving an unprecedented buildout of data center infrastructure across the United States. States are competing to attract this investment through tax incentives and streamlined permitting, often before the regulatory frameworks needed to govern these facilities responsibly are in place. The Mass Leads Act of 2024 created one of the most generous data center incentive packages in the region, providing a 100% exemption from sales and use taxes on eligible equipment, software, electricity, and construction materials for up to 20 years. The implementing regulation behind the act, 400 CMR 9.00, structures environmental review as voluntary and contains no binding emissions thresholds, mandatory renewable energy procurement, or community benefits requirements.

This report asks: What policy recommendations should Massachusetts adopt to establish a comprehensive environmental justice regulatory framework governing AI data center development, drawing on the experiences of peer states? The question is important not only for the state of Massachusetts but also for the nation. As investment flows toward states with the least regulatory capacity to manage their consequences, the policy choices made now will shape community outcomes for decades. Massachusetts does not have to be another cautionary tale. Home to world-class research institutions and an established clean energy policy infrastructure, the Commonwealth is uniquely positioned to lead. Done correctly, Massachusetts could set a national model for how states condition tax incentives, mandate community benefits, and protect frontline communities from the costs of AI infrastructure development, showing that economic competitiveness and environmental justice are not mutually exclusive.

II. Methodology

To develop actionable recommendations for Massachusetts, this report conducted a comparative analysis of seven peer states with significant data center activity: Virginia, Louisiana, Georgia, California, Pennsylvania, Texas, and Mississippi. Our team selected states based on the scale of their current and planned data center development and the diversity of their regulatory approaches. For each state, we assessed environmental, social, and economic impacts across the dimensions. The findings from this comparative analysis informed the development of four policy alternatives for consideration by the Massachusetts General Court: mandatory Community Benefits Agreements as a condition of LEADS Act certification, a Data Center Environmental Performance Standard, a Real-Time Public Monitoring Portal, and maintenance of the current policy framework. Each alternative was then evaluated using a feasibility matrix that assessed four criteria: cost-effectiveness, technical feasibility, political feasibility, and policy sustainability. These were then scored on a scale of 1 to 5, with 1 being the most feasible and 5 the least.

III. Key Findings and Policy Recommendations

Across all seven peer states examined, a consistent pattern emerged. Unconditioned tax incentives shift the costs of infrastructure, public health, and the environment onto communities least equipped to bear them. In Virginia, ratepayers face grid upgrade costs driven by data center demand. In Georgia, a state audit found that tax exemptions cost the state at least \$1.5 billion in foregone revenue while generating fewer than 1,900 permanent jobs statewide. In Mississippi, the combined state and local incentive package for xAI resulted in an effective tax burden of zero, with no binding job-creation benchmarks or community protections attached. Massachusetts is replicating this pattern. In Lowell, the city extended \$77 million in tax incentives to a single developer in exchange for 30 full-time local jobs, while the surrounding Sacred Heart neighborhood, a state-designated Environmental Justice community, absorbed diesel generator emissions. In Westfield, a proposed facility projected to withdraw over one billion gallons of water annually from the Barnes Aquifer required no environmental impact assessment under the current framework. In both cases, 400 CMR 9.00 offered affected communities no meaningful recourse.

Four policy alternatives were then evaluated to address these gaps. The feasibility analysis finds that mandatory Community Benefits Agreements represent the strongest available instrument. CBAs are cost-effective, drawing on existing administrative infrastructure without requiring new agencies or funding streams. They are technically feasible and build on tools municipalities already use. They are politically viable in a state that has already codified meaningful community involvement as a legal standard. CBAs are sustainable over the LEADS Act's 20-year certificate term, with built-in annual review provisions that allow obligations to adapt as technology and community needs evolve.

V. Call to Action

Massachusetts has a narrow window to act. AI infrastructure investment is accelerating, and every certification issued without binding community, environmental, and ratepayer protections is a missed opportunity to condition public subsidy on public benefit. The Lawyers for Good Government legal review confirmed that only the legislature can impose these protections, meaning the Massachusetts General Court must amend the LEADS Act to require mandatory Community Benefits Agreements as a condition of certification. If the legislature does not act, Massachusetts residents have a direct avenue to do so themselves through a ballot initiative. Every community deserves to benefit from new technology without being forced to absorb the costs of corporate greed and poor planning. The families did not choose to live beside diesel generators, nor did they choose to lose reduced access to clean water in favor of data centers. No community should have to. Massachusetts has the power to ensure it does not have to, and the obligation to use it.